THE OPERATOR'S TOOLKIT · WEDNESDAY 2

Is this street worth the lease?

Score the five forces on one street before you sign. One walk, ten minutes, a number out of 25.



SWIPE FOR THE SCORECARD

HOW IT WORKS

Score each force from 1 to 5

Each force is something on the street that takes a cut of every £1 your site takes.

1	The force is weak. It barely touches your margin.
3	It's there. Price it into the plan.
5	It's strong. It takes its cut every week, whatever you do.

Walk the street at the hour you'd trade. Write down what you saw next to each score: a score without evidence is a guess.

FORCE 1 · SUPPLIERS

Who can push your costs up?

Your food suppliers, your landlord and the local labour market.

SITE 10 FROM MONDAY: EACH £1 OF SALES	
Food and drink	30p
The team	40p
The landlord	20p
Gone before anything else	**90p**

1	Rent under 10% of forecast sales; easy to hire; two or more suppliers for key lines.
5	Rent 20% or more, upward-only reviews; hard to hire; one supplier for key lines.

Check: rent ÷ forecast sales, and how long local job ads stay open.

FORCE 2 · BUYERS

Who can push your price down?

Guests who compare on price, and delivery apps that take up to £6 of a £20 order.

1	Guests choose you for the offer; delivery under 10% of sales.
5	Guests compare on price every visit; apps 25% or more of sales.

Check: nearby menu prices; delivery's share of your sales.

FORCE 3 · SUBSTITUTES

What else feeds them?

Not another café: the meal deal, the office canteen, lunch from home.

1	Nothing comparable on the guest's path.
5	Several cheaper options on the route guests take at your peak.

Check: walk the route your guests take at your peak hour.

FORCE 4 · NEW ENTRANTS

How easily could a rival open?

Every empty unit nearby is a café that could open next year.

1	No vacant units nearby; high fit-out cost.
5	Several TO LET boards within three minutes' walk, at low rents.

Check: count the boards; ask the agent what each unit may be used for.

FORCE 5 · RIVALS

Who's already fighting for the guest?

The café opposite cuts its coffee from £3.40 to £2.90. Now you have to answer.

1	No direct rival within three minutes' walk.
5	Three or more direct rivals, or one discounting hard.

Check: count the same-offer sites and note their prices and offers.

ADD THEM UP

Two streets, two very different leases

FORCE	STREET A	STREET B
Suppliers	3	5
Buyers	2	4
Substitutes	2	4
New entrants	2	4
Rivals	3	4
Out of 25	12	21

5–12	13–18	19–25
Favourable	Workable: price the forces in	Hostile: more sales just to stand still

YOUR STREET

Fill it in

FORCE	1–5	WHAT YOU SAW
Suppliers rent ÷ sales, hiring		
Buyers prices nearby, delivery share		
Substitutes meal deals, canteens on the path		
New entrants TO LET boards nearby		
Rivals same offer, their prices		
Total	/ 25	

Your highest score is the force to plan for first.

WEIGHING MORE THAN ONE SITE?

Comment SCORECARD for the multi-site version.

Every site and every lease you're weighing, scored side by side: a guide for each force, the cushion over break-even, and what to do next.

Watch Monday's episode of The Operator's Ledger, "Five forces", on the WRW Hospitality page.

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